

The 2014 IRS guidance is interesting because, although it rules primarily on bitcoin, it refers to “virtual currency, such as bitcoin.” Does this mean that the ruling includes all cryptoassets in the “virtual currency” classification?

Here’s how the guidance defines what it means by virtual currency:

In some environments, virtual currency operates like “real” currency—i.e., the coin and paper money of the United States or of any other country that is designated as legal tender, circulates, and is customarily used and accepted as a medium of exchange in the country of issuance—but it does not have legal tender status in any jurisdiction.

Looking at IRS Notice 2014-21, which provides a bit more information on tax guidance related to bitcoin and virtual currency, we find an attempt at further clarification:

Virtual currency that has an equivalent value in real currency, or that acts as a substitute for real currency, is referred to as convertible virtual currency. Bitcoin is one example of a convertible virtual currency. Bitcoin can be digitally traded between users and can be purchased for, or exchanged into, U.S. dollars, Euros, and other real or virtual currencies.²⁹

In this case, bitcoin is considered a “convertible” virtual currency. The ruling also refers the reader (who is by now rather confused) to a more “comprehensive description of convertible digital currencies” that was provided by the Financial Crimes Enforcement Network (FinCEN) back in 2013.³⁰ Although the FinCEN opinion has less to do with taxation and more to do with addressing the misuse of digital currencies for illegal activities, it reveals the fact that numerous regulatory agencies in the United States have been